

Reducing DSO in Commercial B2B

How automation and a professional collection agency accelerate cash flow.

In commercial B2B, every day in receivables is working capital you can't use. This paper explains how to lower Days Sales Outstanding (DSO) with automation — and why partnering with a professional collection agency reduces cost while speeding cash conversion.

Executive summary

37.7 days

Median DSO across industries (Credit Research Foundation, Q3 2021)

~61 vs ~30

Business services vs. wholesale non-durables (Oct 2024)

< 45 days

Common target under standard net-30/45 terms

Older receivables are far less collectible — compressing collection timelines protects liquidity and reduces write-offs.

1) Understanding DSO (and why it matters)

DSO measures how quickly credit sales convert to cash. Lower DSO indicates faster cash conversion and stronger liquidity. Trends matter more than static figures; rising DSO signals process inefficiency or customer credit deterioration.

2) Metrics that complete the picture (beyond DSO)

Average Days Delinquent (ADD), Collection Effectiveness Index (CEI), AR Turnover Ratio, Bad Debt Ratio, and Aging Distribution are all critical to evaluating collection health.

3) Why companies struggle to collect receivables

Manual billing errors, inconsistent credit policies, poor follow-up cadence, unresolved disputes, and client financial stress are the leading causes of extended DSO.

4) Automation: the fastest path to lower DSO

Automating AR compresses cycle time and minimizes errors. Timely invoicing, proactive reminders, "Pay Now" links, AI reconciliation, and centralized dispute resolution reduce delays. SWRS aligns with advanced AR stacks (Aktos, Equabli, CollectWise, Accurint) to complement automation — bridging the gap between reminders and resolution.

5) Why a professional collection agency lowers cost and DSO

Outsourcing stalled receivables to a compliant, data-driven agency converts aged AR to cash while reducing overhead. SWRS operates on contingency — no recovery, no fee — and reports commercial debts to Experian, Equifax, and Dun & Bradstreet to drive accountability. Skip tracing, credit reporting, and legal-network escalation improve both speed and yield.

Implementation playbook — 90 days to better cash

Weeks 1–2	Map current DSO and standardize terms.
Weeks 3–4	Automate invoicing and reminders.
Weeks 5–6	Score and prioritize risk.
Weeks 7–8	Resolve disputes quickly.
Weeks 9–10	Escalate non-responsive accounts to SWRS.
Weeks 11–12	Review metrics and lock in improvements.

Turn a common problem into recovered cash.

See how Southwest Recovery Services helps companies protect revenue, accelerate collections, and maintain compliance — on a contingency basis.

Book a 30-minute discovery call →

(866) 551-4684 · info@swrecovery.com · swrecovery.com/industries/commercial-collections

Southwest Recovery Services, LLC · 16200 Addison Road, Suite 260, Addison, TX 75001 · Commercial collections since 2004 · FDCPA / CFPB / FCRA compliant · ACA International member.

Benchmark figures are industry references (Credit Research Foundation and sector data) provided for context, not a guarantee of results. Every engagement is contingency-based — no recovery, no fee.